

believed that the stock would continue down. When it turned around, I bought.

“VL [Value Line] ranks the stock 1, 3 with a technical rank of 1 as of 28 June (yeah, almost a month ago). With its 30% annual growth rate in new stores, and other fundamental factors, this stock could be a good holding for the long haul. If they can continue store growth with internally generated cash flow, this will be a good stock to own.

“After placing the order last night, I had second thoughts. I think the stock will fall back to its consolidation range, \$4.75–5.00 [it hit 5 exactly a day after I bought]. It makes me nervous to buy after the stock has climbed so quickly. Will intuition be right or will the mind prevail?



Figure 32.4 An actual trade made 52% using a potential double top as a sell signal.

“In any case, although I have been watching this stock as a buy candidate for a few weeks now, I was uneasy with the rapidity that I bought this one. Once I noticed that MACD said it was a buy, I checked a few things, then placed the order. Much too quick and not thorough enough.”

I don't know where the trend channel was, but the notebook entry made mention of the channel 3 days before I bought, which I show as B. I bought